minimize the amount we pay to Uncle Sam. It turns out that taxes affect asset prices and are a factor, too.

I believe all asset owners must pay special attention to their relationships with delegated managers, which I discuss in chapter 15: Delegated Investing. Dysfunctional principal-agent relationships are as big a problem for asset owners as finding an appropriate investment (actually factor!) strategy. In fact, governance and investment strategy go hand-in-hand. I discuss mutual funds, hedge funds, and private equity in chapters 16 to 18, respectively, in the light of factor risk exposures and agency problems.

Students of asset management will find this book different because it is not strictly a textbook, although it applies concepts that many finance courses cover. It should be more interesting, hopefully, because the theory is related directly to specific individuals, funds, or companies, and because I don't pretend to be objective. I use the book in MBA courses on basic investments and a more advanced class on asset management, but supplement it with class slides (with more math than there is in the book), plenty of problem sets, case studies, and guest speakers (the last two being the best parts). The book contains too much material for a one-semester course, so if you're a professor, pick and choose which chapters are most relevant; each will have some lecture notes available upon request. Each chapter is designed to be self-contained, but has references to relevant discussions in other chapters.

Academics should find this book of interest because I cover much of the recent literature. An important aim of the book is to distill the relevant parts of academic theory to improve the practice of asset management. I can't mention all the papers written on these subjects, so the selective references skew towards older, seminal works as well as more recent ones; references in between are relatively sparse. I apologize to academic colleagues whom I've left out.

I heartily endorse disclosures as an important tool to align the interests of asset owners and delegated managers, so here are mine. I have received consulting fees or honorariums from the following firms and institutions mentioned in this book: Bank of America Merrill Lynch, Canada Pension Plan Investment Board (CPPIB), Commonfund, European Central Bank (ECB), Federal Reserve Bank of New York (FRBNY), Federal Reserve Board of Governors, Fidelity Investments, Folketrygdfondet, The Hamilton Project at Brookings Institution, Harvard University (Kennedy School), International Monetary Fund (IMF), Martingale Asset Management, Morgan Stanley, Norwegian Ministry of Finance, Norges Bank, and the World Bank. I have received consulting fees or honorariums from other firms in the financial industry, including asset management firms, central banks, commercial and investment banks, and hedge funds.

The website for materials accompanying this book may be found at www.oup.com/us/assetmanagement.